

21STCV39406 21STCV39406

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Case Number: 21STCV39406 Hearing Date: September 4, 2026 Dept: 515

NATURE OF PROCEEDINGS: Hearing on Motion for Leave to

File First Amended Answer

The Motion for Leave to File First Amended Answer is granted.

BACKGROUND

Plaintiff Sandra Will Carradine (Plaintiff) filed this action against De Witte Monarch Investors Fund, LLC (Lumen Fund), Peter De Witte (Peter), CLE Capital Partners, LLC (CLE), and Christopher Powell, alleging in the operative Second Amended Complaint that they foreclosed on the residence she leased and noticed it for trustee's sale in disregard of her lease and her right of first offer to purchase it. Lumen Fund and Peter (collectively, "Cross-Complainants") filed a Cross-Complaint against 1565 HASLAM, LLC, Plaintiff, Lee Wong (Wong), and LW Asset MANAGEMENT, LLC, alleging that they acted in concert to record a lis pendens and to disrupt the trustee's sale. Wong appears through her Guardian ad Litem, Sybil Burrell.

The causes of action in the Cross-Complaint are: (1) Slander of Title; (2) Intentional Interference with Economic Relations; (3) Negligent Interference with Economic Relations; (4) Declaratory Relief; (5) Ejectment; (6) Fraudulent Intentional Misrepresentation; and (7) Negligent Misrepresentation.

Wong filed a Motion for Leave to File First Amended Answer to the Cross-Complaint. No Opposition was filed.

On Wong's motion, the Court vacated the judgment on the Cross-Complaint and set the matter for retrial. On September 2, 2026, the Court continued the

retrial to November 2, 2026.

LEGAL STANDARD

Code

of Civil Procedure section 473, subdivision (a)(1), provides, in relevant part: “The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading or proceeding by adding or striking out the name of any party, or by correcting a mistake in the name of a party, or a mistake in any other respect; and may, upon like terms, enlarge the time for answer or demurrer. The court may likewise, in its discretion, after notice to the adverse party, allow, upon any terms as may be just, an amendment to any pleading or proceeding in other particulars; and may upon like terms allow an answer to be made after the time limited by this code.” Subdivision (a)(2) provides: “When it appears to the satisfaction of the court that the amendment renders it necessary, the court may postpone the trial, and may, when the postponement will by the amendment be rendered necessary, require, as a condition to the amendment, the payment to the adverse party of any costs as may be just.”

Code

of Civil Procedure section 576 provides: “Any judge, at any time before or after commencement of trial, in the furtherance of justice, and upon such terms as may be proper, may allow the amendment of any pleading or pretrial conference order.”

“Leave to amend a pleading, including an answer, is entrusted to the sound discretion of the trial court.” (Hong Sang Market, Inc. v. Peng (2018) 20 Cal.App.5th 474, 488.) “This discretion should be exercised liberally in favor of amendments, for judicial policy favors resolution of all disputed matters in the same lawsuit.” (Kittredge Sports Co. v. Superior Court (1989) 213 Cal.App.3d 1045, 1047.) “[I]t is an abuse of discretion to deny leave to amend where the opposing party was not misled or prejudiced by the amendment.” (Id. at p. 1048.)

“Although courts are bound to apply a policy of great liberality in permitting amendments to the complaint at any stage of the proceedings, up to and including trial [Citations.], this policy should be applied only ‘[w]here no prejudice is shown to the adverse party’ [Citation.] A different result is indicated ‘[w]here inexcusable delay and probable prejudice to the opposing

party' is shown. [Citation.]" (Magpali v. Farmers Group, Inc. (1996) 48 Cal.App.4th 471, 486.) "Generally, leave to amend must be liberally granted [Citation.], provided there is no statute of limitations concern, nor any prejudice to the opposing party, such as delay in trial, loss of critical evidence, or added costs of preparation." (Solit v. Tokai Bank, Ltd. New York Branch (1999) 68 Cal.App.4th 1435, 1448.)

ANALYSIS

I. Rule

3.1324

California

Rules of Court, rule 3.1324(a), provides: "A motion to amend a pleading before trial must: [¶] (1) Include a copy of the proposed amendment or amended pleading, which must be serially numbered to differentiate it from previous pleadings or amendments; [¶] (2) State what allegations in the previous pleading are proposed to be deleted, if any, and where, by page, paragraph, and line number, the deleted allegations are located; and [¶] (3) State what allegations are proposed to be added to the previous pleading, if any, and where, by page, paragraph, and line number, the additional allegations are located." Under rule

3.1324(b), a separate declaration must accompany the motion and must specify: "(1) The effect of the amendment; [¶] (2) Why the amendment is necessary and proper; [¶] (3) When the facts giving rise to the amended allegations were discovered; and [¶] (4) The reasons why the request for amendment was not made earlier."

Wong contends that the Motion satisfies rule

3.1324 and that the declaration of her counsel, D. Jay Ritt, makes each showing that subdivision (b) requires.

Here, the Motion complies with the rule. Exhibit A to the Ritt declaration sets out the seven proposed defenses in full, numbers them as the Twenty-Third through Twenty-Ninth Affirmative Defenses, and renumbers the existing Twenty-Second Affirmative Defense reserving additional defenses as the Thirtieth. (Ritt Decl., ¶¶ 2, 7, Ex. A; Answer, ¶ 23.) Exhibit A therefore identifies where in the Answer the added allegations belong. Likewise, subdivision (a)(2) does not apply, because Wong proposes to delete no allegation of the Answer on file. (Ritt Decl., ¶ 2.)

Ritt addresses each showing that subdivision (b) requires: the effect of the amendment, why the added defenses are necessary, when he identified the pleading omission, and why the request was not made earlier. (Ritt Decl., ¶¶ 2-5.)

II. Necessity

Wong contends that release and accord and satisfaction are new matter that she must plead specially. She further contends that the remaining added defenses arise from the same October 2022 settlement transaction.

A party answering a cross-complaint must state any new matter constituting a defense in the answer. (Code Civ. Proc., § 431.30, subds. (a), (b)(2).) Here, Wong seeks the amendment on the ground that release and accord and satisfaction are new matter. (Ritt Decl., ¶ 3.) Accordingly, the Court accepts that ground as to those two defenses. Likewise, the new settlement and compromise, payment, waiver, equitable estoppel, and retraxit defenses arise from the October 2022 settlement. (Ritt Decl., ¶ 3.)

III. Prejudice and Delay

Wong contends that Cross-Complainants can show no prejudice, because the amendment calls for no additional discovery and changes no evidence. She further contends that her delay is explained by her prior counsel's omission, her incapacity, and the recent appointment of her Guardian ad Litem.

Here, the amendment adds no facts to the case, but only the legal characterizations under which evidence already in the case may operate as a complete defense. The Answer pleads a general denial and 22 affirmative defenses, none of which is release, accord and satisfaction, settlement and compromise, payment, waiver, equitable estoppel, or retraxit. (Answer, ¶¶ 1-23.) Nor does the Answer mention the October 2022 transaction. (Ibid.) Without the amendment, those defenses would be available at the retrial, if at all, only on a further application under Code of Civil Procedure sections 469 and 470.

The added defenses arise from an October 2022 transaction in which Cross-Complainants accepted \$845,000 through escrow, filed a full

acknowledgment of satisfaction of judgment releasing recorded liens, and caused CLE to dismiss its separate action against Wong with prejudice. (Ritt Decl., ¶ 3.) Notably, every party has known those facts since late 2022, and both sides designated documents from the transaction as trial exhibits, including Cross-Complainants' own Trial Exhibits 113 and 114. (Ritt Decl., ¶ 4.) Moreover, the witnesses and documents relevant to the added defenses already appear on the parties' witness and exhibit lists. (Ritt Decl., ¶ 6.) The evidence to be presented at trial is therefore the same with or without the amendment.

On September 2, 2026, the Court continued the retrial to November 2, 2026. Thus, the amendment will not delay the retrial, and Cross-Complainants have two months in which to prepare for defenses whose evidence they have held since 2022. Cross-Complainants filed no Opposition, and they have submitted nothing indicating that the amendment would cost them evidence or require preparation they have not already undertaken.

Wong's prior counsel prepared and filed the Answer on June 25, 2025. Ritt identified the pleading omission in July 2026, while preparing jury instructions. (Ritt Decl., ¶ 4.)

In the interval, Wong was incapable of directing her defense. The parties stipulated to the appointment of her Guardian ad Litem in or about June 2026. (Ritt Decl., ¶ 5.) Wong's successor counsel, engaged in connection with the retrial, brought this Motion within days of identifying the omission. (Ibid.)

The Court concludes that Wong explained her delay and that Cross-Complainants were neither misled nor prejudiced by the amendment. Accordingly, the Motion for Leave to File First Amended Answer is granted.

CONCLUSION

The Motion for Leave to File First Amended Answer is granted. Within 10 days of this ruling, Wong is ordered to file and serve a complete First Amended Answer in substantial conformity with Exhibit A to the Ritt declaration.